

such thing as The Best Trading System and you should treat any such claims with the greatest of scepticism. It's perfectly fine to read research, to get inspiration and ideas, and certainly to buy my books, preferably multiple copies so you can give them to all your friends. But in the end, you need to verify every claim, replicate the research, test the ideas, and make up your own mind. Even if the historical claims turn out to be true, that is not necessarily an indication of how things will work out in the future. In the end, you might pick up some ideas and be able to incorporate them into your own approach. But what you need to do is to verify claims made, to treat everything with a healthy dose of scepticism, and always do your own research.

In reality, most trading models are developed for a specific purpose, in particular, if you're running a business. When you design your strategy, you're not just randomly looking for something that makes money. It would be like starting a company in any other industry with the business plan summarised as "Making Money". Even your friendly neighbourhood crack dealer has a better business plan than that. Odds are that when you start your trading business, you're planning to take advantage of some gap in the market, or to replicate some niche strategy which is attracting a lot of money at the time.

If your trading strategy isn't designed for a specific purpose, you probably just have a bunch of random indicators thrown together, mixed and matched until a good-enough backtest emerged. Those types of trading models rarely have any predictive value, or business value for that matter, and they usually fail pretty quickly.

Whatever you do, never ever trade someone else's rules without doing your own, deep research. In my books, I try to provide all the details, everything you need in order to do this research. I suggest you start by replicating the rules, test it out for yourself, and then continue to improve, adapt, and make it your own.

■ A Word about Programming

A quantitative trader really does need at least a basic understanding of programming or he or she will be quite helpless in this business. It doesn't matter if you never did any programming before or if you feel that this is not your main area of expertise. Since you are reading this book I'm going to go ahead and assume that you have a certain degree of determination to either get into this business or become better at it. Understanding